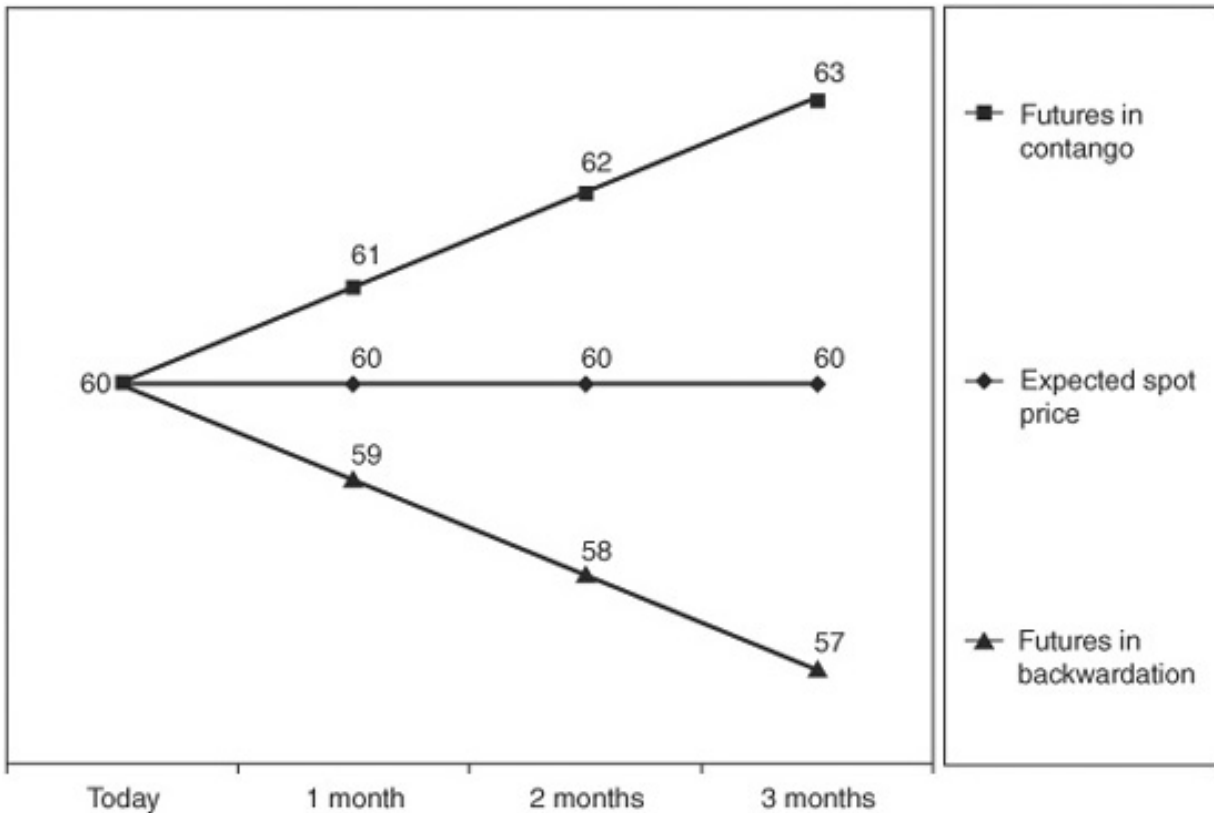




around the period studied, who conducted the study, and why it was conducted. Many studies that show abnormal returns have been done by people who have a vested interest in selling commodity investments. Neutral studies show far lower returns.

Logically, if commodities futures spend half their time in contango and half their time in backwardation, there should be no advantage to buying the spot or buying the futures. The total return should be the same whether you buy the physical asset and store it or buy the futures contract and invest your cash in short-term T-bills. This is essentially what has happened as we discuss later in this chapter.

Mutual funds and ETFs that invest in futures must roll contracts from one month to the next to avoid thousands of gallons of oil showing up at the company's doorstep on the futures' expiration date. The roll yield can be positive or negative, depending on the relationship of next month's futures prices to near-term futures prices. In a simplistic sense, if the commodity is in backwardation, the second month contract is less expensive than the first month contract, and buyers can earn a profit. If the